

LIMITLESS HOOPS - COST & ARCHITECTURE ANALYSIS (100 MEMBER BASELINE)

When transitioning to a custom platform, there are unavoidable recurring infrastructure and processing costs. This document outlines the **high-end estimated costs** assuming a baseline of 100 active members paying an average of \$200/month (totaling \$20,000 processed monthly).

1. PAYMENT PROCESSING (STRIPE VS PAYPAL)

Payment gateways take a cut of every transaction. If the business absorbs these fees instead of passing them to the customer, this will be the largest monthly expense.

Option A: Credit Cards (High End Cost)

- **Stripe Fee:** 2.9% + \$0.30 per transaction.
- **Cost for 100 Members:** \$580 in percentages + \$30 in fixed fees = **\$610 / month**.
- **Verdict:** This is the most expensive route, but offers the least friction for the customer.

Option B: ACH / Bank Transfers (Recommended for Savings)

- **Stripe Fee:** 0.8% (Capped at \$5.00 maximum).
- **Cost for 100 Members:** $200 * 0.8\% = \$1.60$ per member = **\$160 / month**.
- **Verdict:** Switching customers to ACH saves the business **\$450 every month** (\$5,400/year).

Note: The business can also opt for a "Convenience Fee" model, where the 3% CC fee is added to the customer's cart, making payment processing effectively \$0 for the business.

2. AUTHENTICATION (IDENTITY MANAGEMENT)

We are adopting a **100% Password-less Strategy**. Users will log in via Google, Facebook, LinkedIn, or an Email One-Time-Passcode (OTP).

Custom OAuth & OTP (Go Backend)

- **Cost:** **\$0 / month**.
 - **Pros:** Highly secure (no breached passwords), less friction for users, no vendor lock-in. Email OTPs cost fractions of a penny via AWS.
 - **Cons:** *Apple Sign-In is excluded for now as it requires a \$99/yr Apple Developer fee.*
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3. HOSTING & INFRASTRUCTURE (AWS)

Running a custom web app, database, and background workers requires server hosting. We will assume the high-end managed route for maximum reliability.

AWS Managed Services (ECS + RDS)

- **Estimated Cost:** **~\$60 / month**.
- **Breakdown:**

- Managed PostgreSQL Database (RDS): ~\$18/mo
 - App Hosting (ECS / Fargate): ~\$15/mo
 - Load Balancer & Networking: ~\$25/mo
 - **Verdict:** "Set it and forget it". Automated backups, highly secure, and scales automatically.
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4. COMMUNICATIONS (EMAIL & SMS)

Based on 100 members attending multiple events per week, we estimate heavy communication volume.

SMS Text Reminders (High-End Volume)

- **Assumption:** 4 event reminders per week * 4 weeks * 100 members = 1,600 texts. Let's budget for 3,000 texts/month to cover marketing and cancellations.
- **Provider:** Twilio or AWS SNS (~\$0.0079 per text).
- **Estimated Cost: \$24 / month.**

Email Notifications (Receipts, Announcements)

- **Assumption:** 10,000 emails/month.
 - **Provider:** AWS SES (\$0.10 per 1,000 emails).
 - **Estimated Cost: \$1 / month.**
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SUMMARY OF HIGH-END ESTIMATED COSTS (100 MEMBERS)

Assuming the business absorbs ALL fees (no convenience fees passed to customers) and operates at the high-end of infrastructure and communication usage:

Scenario 1: Everyone pays with Credit Card

- **Payment Processing:** \$610.00
- **AWS Hosting:** \$60.00
- **SMS & Email:** \$25.00
- **Domain Name:** \$1.00
- **TOTAL ESTIMATED MONTHLY COST: \$696.00 / month**

Scenario 2: Everyone pays with ACH (Bank Transfer)

- **Payment Processing:** \$160.00
- **AWS Hosting:** \$60.00
- **SMS & Email:** \$25.00
- **Domain Name:** \$1.00
- **TOTAL ESTIMATED MONTHLY COST: \$246.00 / month**

Conclusion: The platform itself costs roughly \$86/mo to run on AWS at scale. The primary variable is how the business chooses to process and absorb the \$20,000/mo in transaction volume.